

Western Digital (WDC) Investment Memo

Rating: BUY | Target Price: \$475 | Upside: 18%

Investment Thesis: Western Digital is a leading beneficiary of the AI infrastructure cycle through mass-capacity cloud HDD demand. Following the NAND spin-off, the company offers a cleaner storage exposure with margin expansion potential.

Key Drivers

- Hyperscaler capex growth
- 26TB/32TB UltraSMR adoption
- Operating leverage and pricing recovery

Valuation

DCF-derived value and trading comparables support a target price of \$475.